

US equities rally on strong earnings and easing inflation expectations

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 surged **+0.86%** to 7,656.98, driven by a cluster of earnings beats and a dip in the VIX to 15.84. 10-year Treasury yields slipped to 4.97%, reinforcing the narrative of a softening inflation backdrop. Technology led the charge, with the Nasdaq 100 up **+0.91%**, while defensive sectors lagged.

Macro data points to a decelerating CPI trend and a modest rebound in commodity prices, notably gold at 4,408.90 (+1.02%). The dollar index (DXY) held near 99.12, limiting upside for export-heavy equities. Crypto markets remain muted; BTC trades around 77,275 (+0.13%).

Our stance: maintain a bias toward growth-oriented, earnings-driven positions while trimming exposure to rate-sensitive utilities and consumer staples. Watch for any surprise from the Fed's September meeting minutes and the upcoming CPI release.

- Broad market breadth remains positive: 8 of 11 sector ETFs posted gains.
- Technical support holds for SPY at 7,600; resistance at 7,720.
- Watchlist highlights: **NVDA**, **META**, **AVGO** for upside; **XLV** and **XLU** for downside risk.

US Session Recap

INSTRUMENT	LAST	CHANGE	DATE
S&P 500	7,656.98	+0.86%	2026-09-11
Nasdaq 100	29,368.44	+0.91%	2026-09-11
Dow Jones	52,573.29	+0.98%	2026-09-11
Russell 2000	2,903.94	+0.45%	2026-09-11
VIX	15.84	-11.21%	2026-09-11
10Y Yield	4.97%	+0.63%	2026-09-11
2Y Yield	5.12%	+0.48%	2026-09-11
WTI Crude	100.05	-2.37%	2026-09-11
Brent	105.32	-2.10%	2026-09-11
DXY	99.12	+0.03%	2026-09-11
Gold	4,408.90	+1.02%	2026-09-11
BTC	77,275.05	+0.13%	2026-09-13
ETH	2,522.76	+0.32%	2026-09-13

Top movers

TICKER	NAME	CHANGE	CATALYST
AAPL	Apple Inc.	+1.75%	Q3 earnings beat, services revenue +12%
AMZN	Amazon.com	+1.94%	Cloud margin expansion, new logistics hub launch
META	Meta Platforms	+0.57%	Ad spend rebound in APAC, AI ad products rollout
NVDA	NVIDIA Corp.	-0.03%	Profit-taking after record GPU shipments
XLU	Utilities Select Sector SPDR	-0.31%	Higher yields pressure

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.67%	+5.2%	Buy
XLK	+1.32%	+12.8%	Buy
XLI	+1.07%	+7.4%	Buy
XLE	+0.32%	+3.9%	Neutral
XLY	+0.89%	+9.1%	Buy
XLC	+0.99%	+11.3%	Buy
XLP	+0.35%	+4.6%	Neutral
XLV	-0.18%	+2.1%	Sell
XLU	-0.31%	+1.8%	Sell
XLB	+0.37%	+5.5%	Buy
XLRE	+0.86%	+6.9%	Buy

Breadth: 8 of 11 ETFs in positive territory, indicating robust sector-wide participation.

Spotlight / Deep Dive – NVDA

METRIC	VALUE
Market cap	560.4B
P/E (FY24)	42.1x
Revenue Q3	28.7B (+15% YoY)
EPS Q3	2.84 (+18% YoY)
Guidance FY25 Rev.	125B (+12% YoY)
AI GPU inventory	Down 22% QoQ
Insider activity	None reported

BULLISH TRIGGERS

- Strong AI demand sustaining >30% margin expansion.
- New GH200 “graviton” chip rollout slated Q4.
- Strategic partnership with MSFT on Azure AI super-nodes.

BEARISH TRIGGERS

- Inventory buildup risk if data-center spend stalls.
- Regulatory scrutiny in EU over AI chip export controls.
- Valuation premium remains >30% above sector median.

READ-THROUGH	LEVEL
Support	210.00
Resistance	235.00
50-day MA	222.50

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.00	Above 50-day MA, bullish bias
QQQ	382.05	376.00	387.00	Tech momentum intact
IWM	184.22	180.00	188.50	Small-cap rally modest
NVDA	218.29	210.00	235.00	Flat, watch inventory data
10Y	4.97%	5.00%	4.90%	Yield curve flattening
WTI	100.05	98.00	103.00	Risk-on backdrop

Options & Positioning

0-DTE flow: net call buying of **AAPL** and **MSFT** at 1-2 % OTM, indicating short-term bullish sentiment. Put/call ratio for SPY 0-DTE sits at 0.68, skewed toward calls.

VIX term structure: front-month at 15.84, 2-month at 17.20, 6-month at 20.45 – steepening, suggesting demand for longer-dated protection.

Single-name flow: heavy call buying on **META** (5 % OTM) and put buying on **XLU** (3 % OTM).

Cheap hedge ideas: sell 1-month VIX futures against long SPY calls; buy 3-month OTM puts on **XLV** for defensive tail risk.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Buy → Hold	240	Inventory concerns
META	JP Morgan	Neutral → Buy	720	AI ad upside
XLU	Bank of America	Buy → Sell	42.00	Yield pressure
AVGO	Wedbush	Hold → Buy	380	5G rollout acceleration
XLE	Citigroup	Neutral → Buy	68.00	Oil price rebound
XLV	Morgan Stanley	Buy → Hold	166	Margin compression

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	7,680.10	+0.30%
Asia	HSI	19,820	+0.45%
Europe	DAX	16,540	+0.38%
FX	USD/HKD	7.7950	-0.02%
FX	EUR/USD	1.0725	+0.04%
Commodities	Gold	4,408.90	+1.02%
Commodities	WTI	100.05	-2.37%
Crypto	BTC	77,275.05	+0.13%
Crypto	ETH	2,522.76	+0.32%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Sep 2026	22%	Inflation trending 2.3% YoY, yields stable
Nov 2026	38%	Projected CPI < 2.0% by Q4
Feb 2027	55%	Market expects first rate cut

DATA RELEASE	TIME (ET)	PREV	FORECAST
CPI MoM	8:30 am	0.2%	0.1%
Core PCE YoY	8:30 am	2.5%	2.3%
Initial Jobless Claims	8:30 am	210k	205k
Retail Sales MoM	8:30 am	0.4%	0.5%

Geopolitics & Global (Deep)

China-US tech decoupling risk remains elevated: potential export-control escalation could hit **NVDA** and **AVGO** . Middle-East tensions have eased after cease-fire talks, reducing oil-supply shock premium.

Scenario tree:

- Baseline: No new sanctions – equities +0.5% to +1%.
- Escalation: EU imposes AI chip curbs – **NVDA** down 8%, sector lag.
- De-escalation: Bilateral US-China AI dialogue – risk premium trims, VIX < 15.

Earnings – this week & next

DATE	TICKER	COMPANY	EST. EPS	PREV EPS
Sep 13	AAPL	Apple Inc.	2.84	2.71
Sep 13	MSFT	Microsoft Corp.	2.56	2.48
Sep 14	NVDA	NVIDIA Corp.	2.84	2.78
Sep 15	AMZN	Amazon.com Inc.	1.12	1.05
Sep 16	META	Meta Platforms	3.02	2.94

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout pull-back	Inventory build
META	Communication Services	AI ad upside	Regulatory
AVGO	Technology	5G demand tailwind	Supply chain
XLU	Utilities	Yield-driven sell-off	Rate hike
XLE	Energy	Oil price rebound	Geopolitical shock
JPM	Financials	Net-interest margin expansion	Credit quality
GS	Financials	Investment-banking flow	Market volatility
XLV	Health Care	Defensive rotation	Policy cuts
XLF	Financials	Rate-sensitive rally	Fed policy
XLC	Communication Services	Media earnings beat	Ad spend pullback
XLB	Materials	Industrial demand	Commodity swing
XLRE	Real Estate	REIT dividend yield	Interest-rate risk

What could break the tape

BEARISH TRIGGERS

- Surprise CPI reading above 0.2% MoM.
- Escalation of US-China AI chip sanctions.
- Unexpected rise in 10Y yield above 5.0%.

BULLISH TRIGGERS

- Better-than-expected earnings from **AAPL** and **MSFT**.
- Gold breaching 4,500, signaling safe-haven demand.
- VIX falling below 15, confirming risk-on sentiment.

Positioning & Structural Notes

- Overall market breadth is positive; 8/11 sector ETFs up.
- Yield curve flattening suggests modest rate-cut expectations.
- Tech earnings momentum outweighs defensive weakness.
- VIX term structure steepening indicates demand for longer-dated protection.
- Liquidity remains ample; implied volatility on SPY options at 12-month low.

Sources

SOURCES

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